

MERIDIAN & ASSOCIATES LLP

Advisory | Assurance | Tax | Consulting

Discount Authority & Margin Guidance

Competitive Pricing Decision Framework

CONFIDENTIAL

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1. Purpose

This document provides guidance on discount authority levels, competitive pricing strategies, and margin management for engagement pricing decisions. It complements the Cost Modeling Framework (see separate document) and is intended for use by engagement partners, practice leaders, and pricing managers.

Meridian's pricing philosophy balances three objectives: (1) delivering fair value to clients, (2) maintaining margins that fund reinvestment in our people and capabilities, and (3) winning strategically important engagements. This framework provides structured decision-making tools to balance these objectives in competitive pursuit situations.

2. Discount Authority Levels

Discounts from standard billing rates or standard fixed-fee calculations are authorized at the following levels. All discounts must be documented in the Pursuit Approval System (PAS) with a business justification.

2.1 Engagement Partner Authority

Maximum Discount from Standard Rates: Up to 10%

Minimum Resulting Margin: Must remain above service line floor margin

Conditions for Engagement Partner-level discounting:

- Repeat client with demonstrated loyalty and growth potential
- Multi-service relationship where cross-selling offsets the discount on a specific engagement
- Competitive situation where intelligence indicates pricing is a key evaluation factor
- Volume-based discount for large-scope engagements (50,000+ hours annually)

2.2 Practice Leader Authority

Maximum Discount from Standard Rates: Up to 20%

Minimum Resulting Margin: Must remain above service line floor margin

Conditions requiring Practice Leader approval:

- Discount exceeds 10% from standard rates
- New client acquisition where penetration pricing is strategically justified
- Competitive displacement of incumbent firm where pricing is decisive
- Public sector engagements where rate schedules are subject to negotiation

2.3 Regional Managing Partner Authority

Maximum Discount from Standard Rates: Up to 30%

Minimum Resulting Margin: May go to floor margin but not below

Conditions requiring Regional Managing Partner approval:

- Discount exceeds 20% from standard rates
- Strategic account pursuit designated by the Growth Office
- Market entry pricing for new geography or industry vertical

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- Response to competitive pressure from Big Four or major boutique firms

2.4 CEO / Vice Chairman Authority

Maximum Discount from Standard Rates: Unlimited (subject to business case)

Minimum Resulting Margin: May go below floor margin with documented justification

Conditions requiring CEO/Vice Chairman approval:

- Pricing below the service line floor margin for any reason
- Pro bono or significantly discounted work for nonprofit organizations
- Loss-leader pricing for strategically critical accounts (requires 3-year profitability plan)
- Government contracts with prescribed rate ceilings below standard rates

3. Strategic Pricing Scenarios

The following guidance addresses common competitive pricing scenarios and provides a framework for decision-making:

3.1 Incumbent Defense

When defending an existing client relationship against competitive threat:

- Assess the true competitive threat: Is the client genuinely considering alternatives, or is this a negotiating tactic?
- Lead with value reinforcement before offering rate concessions. Document the cumulative value delivered over the relationship.
- If pricing adjustment is necessary, prefer volume-based or multi-year commitment discounts over straight rate reductions
- Consider offering additional services at no incremental cost rather than reducing rates (protects rate integrity)
- Authorized discount range: up to 15% with Practice Leader approval, documented in PAS
- Critical rule: Never reduce rates below the point where quality or staffing would be compromised

3.2 New Client Acquisition

When pursuing a new client where pricing is a significant evaluation factor:

- Understand the client's budget range before finalizing pricing (ask during the pre-proposal meeting)
- Consider a phased pricing approach: Year 1 at a penetration rate, with rate normalization in Years 2-3
- Multi-year commitments justify lower Year 1 pricing -- ensure the total contract value meets margin targets
- For strategic accounts, a below-target-margin Year 1 may be justified if cross-selling opportunities are identified and documented
- Authorized discount range: up to 25% in Year 1 with Regional Managing Partner approval
- Requirement: 3-year account profitability model demonstrating path to target margins

3.3 Competitive Displacement

When attempting to displace a competitor (typically Big Four or major regional firm):

- Price at or slightly below the incumbent's estimated fees (use market intelligence from the Growth Office)

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- Differentiate on value, team quality, and service model rather than price alone
 - Offer a transition guarantee: If defined transition milestones are not met, Meridian will credit a portion of transition fees
 - Consider 'risk-sharing' pricing models (e.g., base fee + performance bonus) that demonstrate confidence in outcomes
 - Authorized discount range: up to 20% with Practice Leader approval; up to 30% with Regional Managing Partner for strategic accounts

3.4 Public Sector Pricing

Public sector engagements have unique pricing considerations:

- Many public entities publish rate schedules or require rates within GSA Schedule ranges
- Price evaluation often represents 30-40% of total evaluation score (vs. 15-25% for commercial clients)
- Government rates should be developed as a separate rate card, not as discounts from commercial rates
- Meridian's standard government rates are 85-90% of Tier 3 commercial rates
- For federal contracts, ensure compliance with FAR cost accounting standards and Cost Accounting Standards (CAS)
- For state and local contracts, review specific procurement regulations for rate disclosure requirements

3.5 Multi-Service Bundle Pricing

When proposing multiple service lines to a single client:

- Bundle discounts of 8-12% from the aggregate standard pricing are pre-authorized at the Engagement Partner level
- Larger bundle discounts (up to 18%) are authorized at the Practice Leader level
- The discount should be presented as a 'relationship benefit' rather than individual service line reductions
- Each service line within the bundle must maintain its own floor margin
- Cross-service synergies (shared understanding of client, reduced onboarding) genuinely reduce cost and can fund a portion of the discount

4. Margin Protection Strategies

When pricing pressure threatens target margins, consider these strategies before reducing fees:

4.1 Scope Optimization

- Reduce scope to fit budget rather than reducing rates: 'We can deliver the full program at \$X, or a focused Phase 1 at \$Y'
- Offer a tiered proposal with 'good/better/best' options at different price points
- Shift lower-value activities to the client (e.g., data gathering, scheduling, document collection)

4.2 Delivery Model Optimization

- Increase offshore/nearshore delivery ratio to reduce blended cost (without reducing client-facing quality)
- Use junior staff for appropriate tasks under senior supervision (steeper pyramid)
- Implement automation and accelerators to reduce total hours while maintaining quality
- Propose a blended on-site/remote model (e.g., 3 days on-site, 2 remote) to reduce travel costs

4.3 Fee Structure Innovation

- Propose outcome-based pricing: lower base fee with upside tied to achieved results
- Offer gainsharing arrangements for cost reduction engagements (Meridian shares in the savings)

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- Use milestone-based payments to improve cash flow and reduce client risk perception
 - Multi-year contracts with early payment discounts (e.g., 2% discount for payment within 15 days)

5. Competitive Intelligence Guidelines

Effective pricing requires understanding the competitive landscape. The Growth Office maintains competitive intelligence on market rates and pricing trends:

Available Resources

- Annual Rate Benchmarking Study: Comprehensive analysis of billing rates across the Top 20 professional services firms (updated February of each year)
- Win/Loss Pricing Analysis: Database of pricing outcomes from all pursuits > \$250K, including evaluator feedback on price competitiveness
- Competitive Rate Cards: Estimated rate ranges for major competitors by service line and market tier
- Public Sector Pricing Database: Rates from publicly available government contracts and GSA Schedules for major competitors
- Industry Pricing Surveys: Third-party surveys from Source Global Research, ALM Intelligence, and Kennedy Consulting Research

Intelligence Ethics

All competitive intelligence must be gathered through ethical and legal means. The following are strictly prohibited:

- Soliciting specific pricing information from competitor employees or former competitor employees
- Using client-provided competitor proposals for pricing intelligence (unless the client has explicitly authorized sharing)
- Misrepresenting identity or affiliation to gather competitor information
- Using proprietary competitor information obtained through any unauthorized means

6. Annual Rate Review Process

Standard billing rates and cost rates are reviewed and updated annually through the following process:

- September: Compensation Committee sets preliminary compensation ranges for the upcoming fiscal year
- October: Finance calculates updated cost rates based on new compensation, benefits, and overhead projections
- November: Growth Office conducts competitive rate benchmarking analysis
- December: Pricing Committee (COO, practice leaders, CFO) sets standard billing rates for the upcoming year
- January 1: New rates take effect for all new engagement letters and T&M billing
- Existing fixed-fee contracts: Rate changes apply only at renewal or extension

7. Contact and Support

For pricing strategy support, competitive intelligence, or assistance with complex pricing scenarios, contact:

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